

RedJKL Global: Strategic Tariff Impact & Margin Protection Analysis

A Data-Driven Solution Design for Global Profitability
Management in SAP S/4HANA

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Project Scope: International Finance & Cross-Border Sales Optimization

Financial Impact of Cross-Border Tariffs

RedJKL Global Electronics Portfolio

Analyzing cross-border tariff impacts to ensure robust financial performance.

Margin Protection Strategies

- Implementing pricing and supply chain adjustments to maintain profitability.

High-Tariff Region Focus

- Deep-dive analysis into India and China regulatory environments.



Sales Order Creation with Tariff Handling

Process Flow

Quote → Order → Delivery → Invoice → Payment

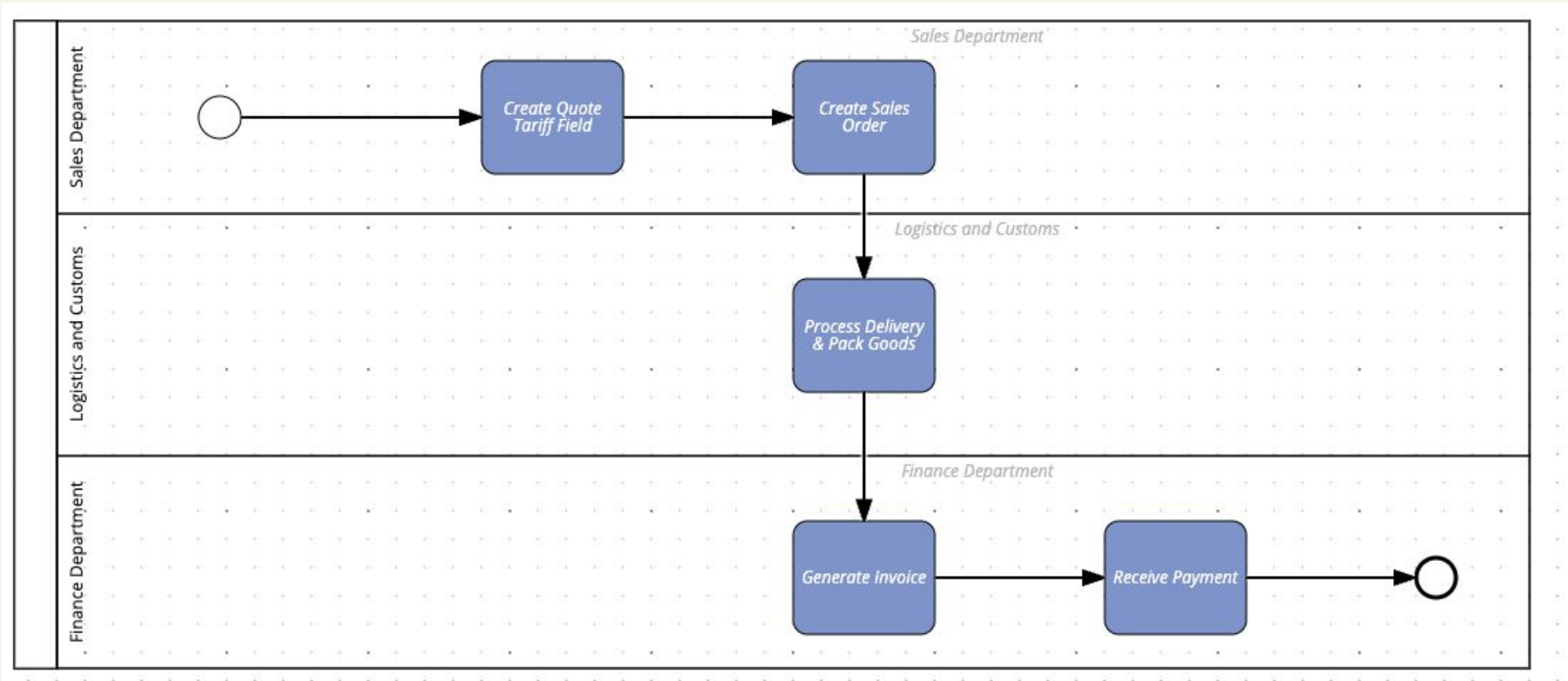
Key Data Points

- Tariff Field Entry
- Pricing Conditions (e.g., ZTAR)
- Customs Integration

SAP S/4HANA Integration

Integration of ZTAR pricing conditions to capture duty fees at the point of billing.

Process Flow Diagram



SAP S/4HANA Pricing & Tariff Integration Process Flow



Outcome: End-to-End Tariff Capture & Financial Clarity

Sample Data: International Sales Orders

Data Application

Used for visualization in **SAC dashboards** to model profitability erosion.

Example Dataset Includes:

- Country & Product
- Net Price
- Tariff %
- Duty Fee
- Final Price

Executive Dashboard: Global Tariff Impact & Profitability Analysis

Total Tariff Revenue

\$1,250,000

Avg. Net Margin After Tariff

6.2%

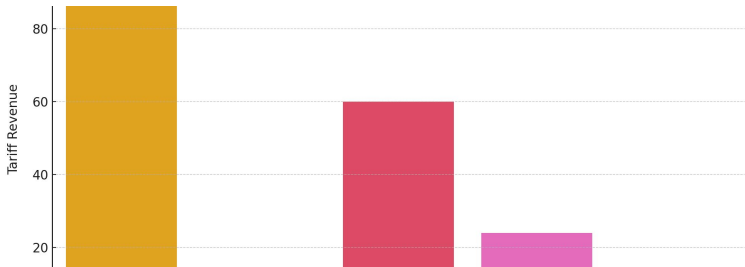
Average Margin Erosion

8.5%

Tariff Impact % by Region



Net Price vs. Final Price

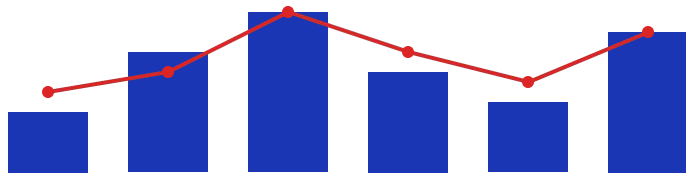


Executive Summary

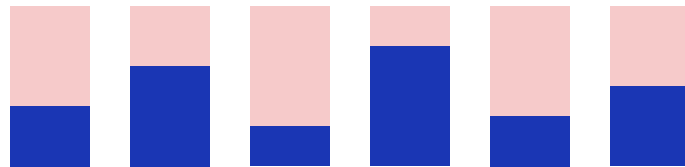
Analysis reveals that the **Smartphone** category in **India** is the highest risk area, with a **15% tariff impact** causing a complete margin wipeout. Strategic pricing adjustments are mandatory to restore positive cash flow in the APAC region.

Dashboard: Sales by Region & Tariff Bracket

Sales Volume vs. Tariff Impact %



Net Margin Distribution by Region

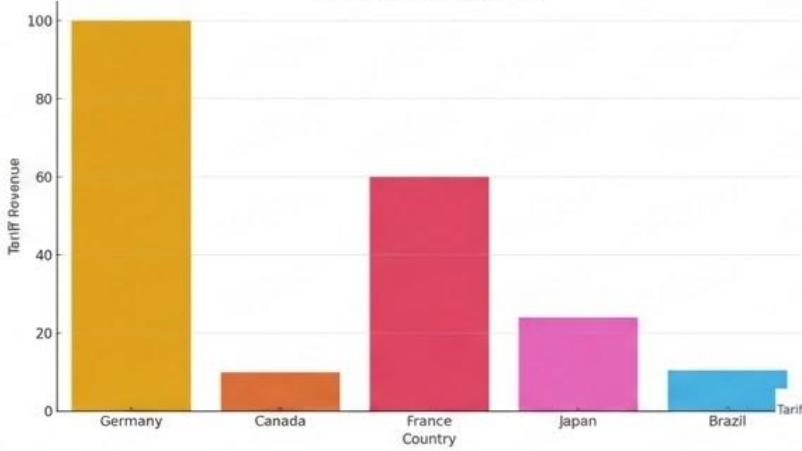


Executive Insights

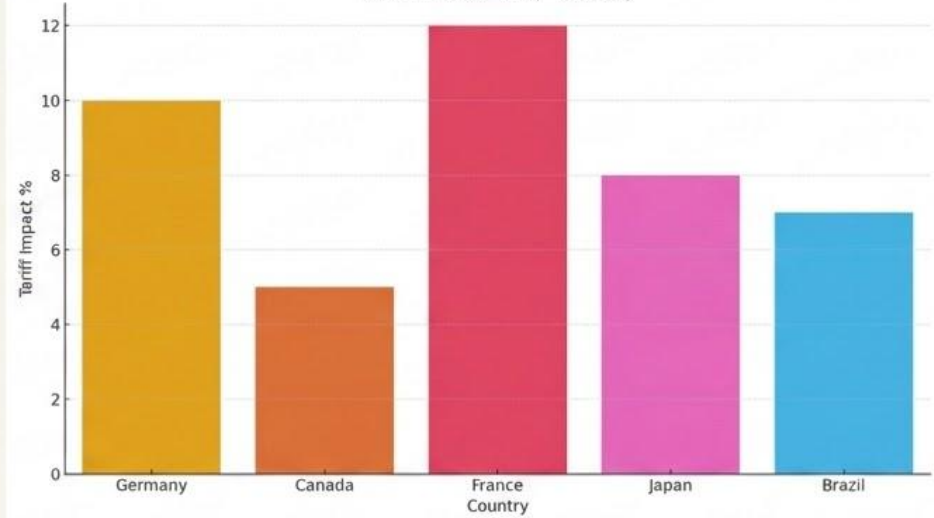
- The APAC region, specifically India and China, represents **40% of our total sales volume** but is subject to the highest tariff brackets (>12%).
- Currently, 75% of sales in the 'High Tariff' bracket are operating below the target 10% net margin.
- **Strategic Recommendation:** Shift higher sales volume toward 'Low Tariff' regions (Germany/USA) or implement local assembly to bypass import duties.

Dashboards

Tariff Revenue by Country



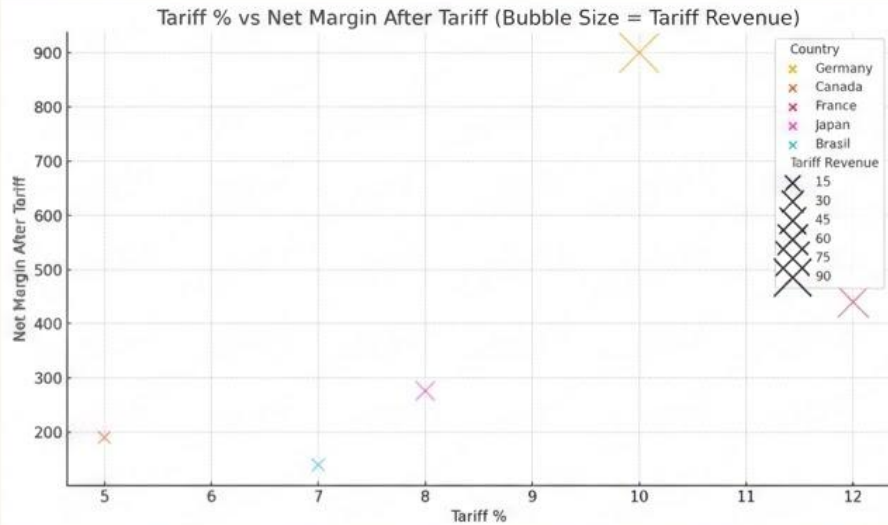
Tariff Impact % by Country



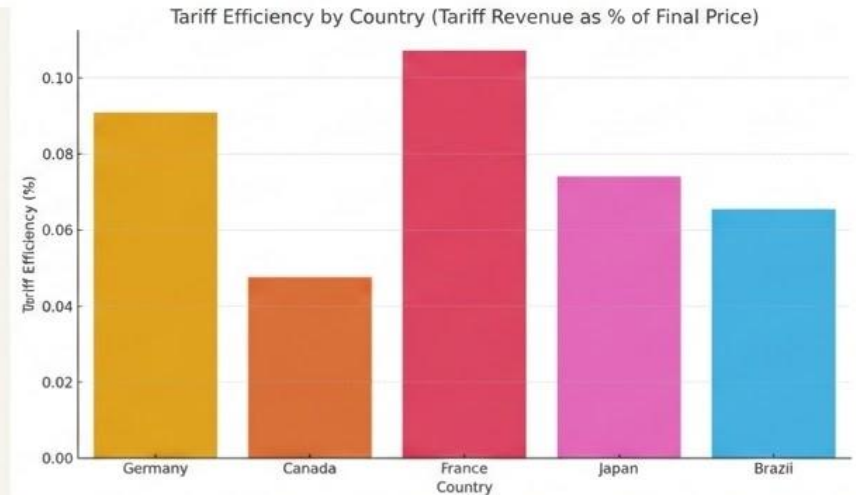
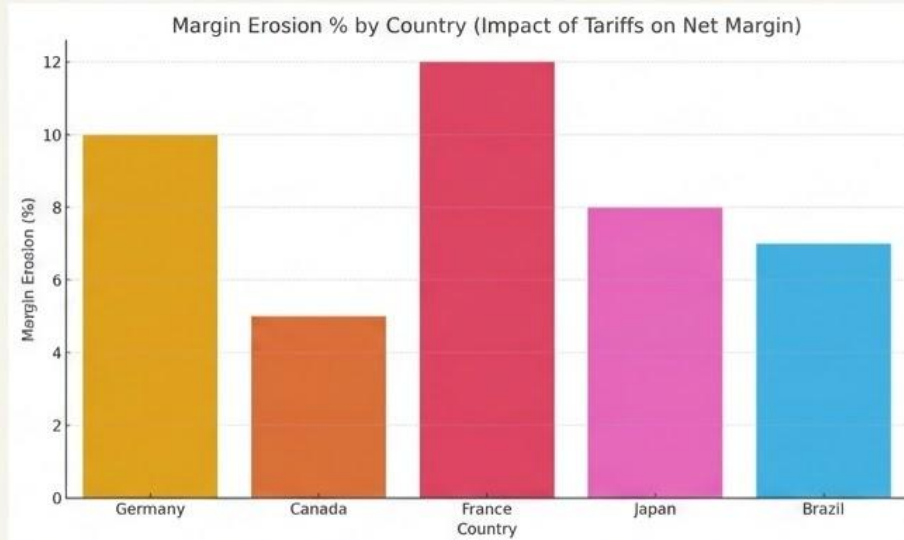
The chart illustrates a significant disparity in tariff obligations. While Germany and Canada remain under 10%, markets like France and emerging regions show a higher 'Tariff Impact %', directly increasing the total 'Tariff Revenue' collected by customs.



Dashboards



The 'Margin Erosion' table **confirms** our **hypothesis**: as Tariff % increases, net profitability declines sharply. The **bubble size** indicates that high-volume products are suffering the most from 'Tariff Efficiency' losses, meaning we are paying more in taxes than we are retaining in net profit for those specific categories.



International Sales & Tariff Dataset Overview

Data Summary

This dataset comprises international sales orders processed through SAP S/4HANA, including key parameters such as Product Category, Net Price, and Country-specific Tariff Percentages.

Key Data Points

- **Net Price:** The baseline price before any regulatory adjustments.
- **Tariff %:** The country-specific import duty applied to the product.
- **Duty Fee:** The absolute currency value of the tariff based on the Net Price.
- **Final Price:** The total price billed to the customer (Net Price + Duty Fee).

Analyst's Critical Note

The raw data highlights immediate 'Outliers' in our global operations. Specifically, the high correlation between India's 15% tariff and its impact on the Smartphone category is the primary driver for our subsequent strategic recommendations.

Final Reflection (Professional Insights)

1. Key Trends Noticed

- **Negative correlation** between regulatory tariff increases and regional net profitability.
- **APAC market** (India/China) shows highest elasticity to tariff-driven inflation.

2. Influence on Pricing Strategy

- Adopt **Dynamic Tariff Surcharges** to protect margins in real-time.
- Strategy shift from 'Global Centralization' to '**Regional Assembly**'.

3. Recommendation to Finance Leadership

- Transition to **SAP Analytics Cloud (SAC)** for predictive 'What-If' simulations.
- **Immediate Action:** Re-route supply chains through allied trade zones.
- Implement **localized pricing** for the Smartphone category in high-tariff regions.